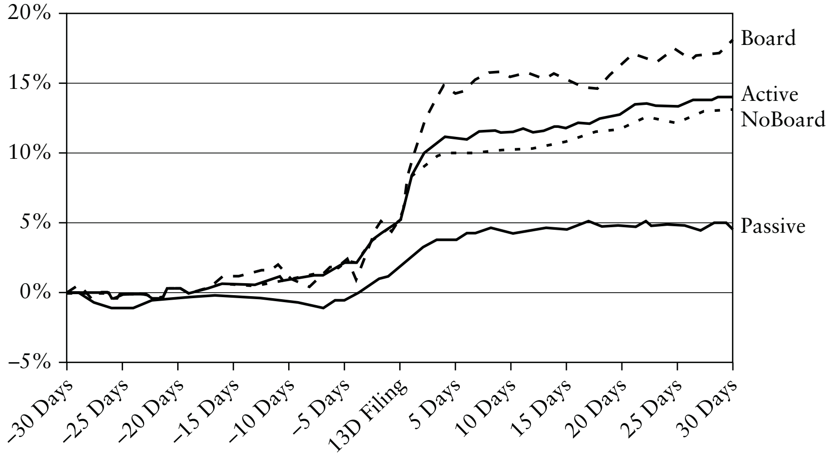

FIGURE 9.2 In the Short Run, Activist Investments Outperform Passive Investments
Source: Benjamin S. Solarz. "Stock Picking in Disguise? New Evidence that Hedge Fund Activism Adds Value." *Editorial Objective* 1001 (2010): 101.

Figure 9.3 shows the returns to activist and passive holdings over the longer term (a 25-month window).

Brav et al. also examined this question, and found several indications that activism adds performance beyond stock picking. First, they find that hostile, aggressive, or confrontational activism—campaigns that employ proxy contests, lawsuits, hostile takeover bids, threats to launch a proxy fight or to sue, or public campaigns to criticize or even to replace the management—generated higher returns than relatively friendly engagements (11.8 percent versus 5.3 percent). They also find that the market reacts much more positively to an activist's announcement of specific plans for the company—a change in business strategy or a sale—than to the activist's statement of belief that the company's shares are undervalued. This is likely because, as Solarz found, activists sell targets more frequently, and for higher prices than comparable firms. If activists were merely picking deeply undervalued stocks, then we wouldn't expect such announcements to lead to higher returns. Stocks targeted by activists do enjoy better stock-price performance even after controlling for sales of targeted firms. Figure 9.4 shows that activism improves stock price performance beyond selling the target, but that target sales generate very high returns.